

Image 4.19 – Price Acceptance in IOC

The previous two examples showed price acceptance near the resistance trend line. But image 4.19 shows price acceptance below the support trend line. It is a 15-min chart of IOC, and there is a clear support line.

Do you agree that the support line belongs to buyers? Besides, if they are powerful, they should defend their price levels.

But in this case, the price broke the support trend line and started trading there for some time. But the buyers are absent, and it is nothing but price acceptance below the support line.



Image 4.20 – Price Acceptance Result in IOC

Image 4.20 shows the result of the price action after it showed price acceptance below the support trend line.

Price Rejection

Price Rejection is opposite to the price acceptance concept. Here price shows a sharp reaction whenever it reaches the crucial price level (it could be support or resistance). This sharp reaction should come in quick time (preferably in 1-2 candles).